

Radar
Understanding
Love
Event
Story inversion

Radar:

- 1) The business is owned 4% by a guru I admire/follow
 - a) Right now (April 2023) it is owned 7% by Phil Town
- 2) The industry is in 2 out of 3 of my circles of competence (passion, talents, my money)
 - a) It is in passion and talents and little bit in my money
- 3) (MANDATORY) I know the industry or I'm excited to become an expert in it
 - a) I need know learn more about the industry but I am excited to learn about it

Understanding:

- Meaning

1. I can describe how the business makes money in a simple sentence

Sprouts is an organic grocery store that sells groceries tailored to plant-based and organic diets at an affordable price

2. I can describe the top three competitors and how their secret sauce for making money in a simple sentence. Go buy the competitors products and compare them to the company of interest

- a) Whole Foods: Three tenants of their business model are: going above and beyond, maintaining high quality, and having a unique culture. Whole foods has their own stricter standards than USDA for all of their stores. They don't sell anything with hydrogenated fats, high fructose corn syrup, and other artificial sweeteners. They also get their produce from local suppliers, which allows them to control their prices and offer unique and local options. Since the Amazon purchase, they now offer prime delivery to their customers who don't have the time to go into the store. Their true secret sauce is being hyper focused on quality at the expense of price.
- b) Trader Joes: Sell mostly organic food but also have non-organic (they want to let the customer choose). Their secret sauce is their TJ's branded products like Trader Mings, Trader Jose, and others (lot's of low preparation healthy meal kits). Their secret sauce is a blend of these branded items, a down-to-earth culture, and low prices
- c) Kroger: Traditional grocery store chain whose secret sauce is their low prices and Kroger branded products that are kept at low prices through their large distribution network and international suppliers, allowing them to have certain produce be sold year-round.

Sprouts has a pricing competitive advantage because they source their products from local farmers who would normally not be able to sell to the big players in the industry. By forming strong relationships with local farmers, they have flexibility on market pricing and can bring new offerings quicker than their competitors. They also have a huge selection of products including: bulk nuts and coffee beans (allows the customer to select how much they want), pre-prepared healthy meal kits, 90% organic fruits and vegetables (can ask employee for a sample), fresh deli, and a salad bar.

3. The business is in the top of its industry in cash flow and/or owner earnings

-Kroger has owner earnings/sales ratio of 11% while Sprouts has only 7%. Most likely because Kroger has been around longer, and because Kroger has much more depreciation expense

- albertsons owner earnings/sales ratio of 2.7%

- Both Kroger and Sprouts have FCF ratio of 1.00

4. I can describe the core customer in a simple sentence, hopefully it is me

- Sprouts relies on customers who are more geared towards healthy eating. For the most part they are millennials who are either vegan, vegetarian, organic, keto or another healthy eating diet
- According to their business section of 10K, their core customers are two kinds of people: health enthusiasts and experience seekers

5. I know the problem the business solves

The main problem the business solves is making healthy eating easier and more affordable to the average consumer

6. I can rattle off the history of the business

It was created in 2002 in Chandler, Arizona by a family with a long history of natural and organic food retail experience. Stan Boney and his brothers opened Boney's Marketplace in Southern California, which would later become Henry's Farmers Market, a farmers market style natural and organic specialty retailer. After selling Henry's Farmers Market in 1999, Stan and his son, Shon, and two family friends began plans for what would become Sprouts Farmers Market with the goal of making affordable healthy foods, vitamins and other products available to everyone. As they grew, they made acquisitions of Henry's Farmers Market (43 stores in 2011) and Sunflower Farmers Market (39 stores in 2012)

7. I know why businesses fail in this industry (Make sure they not radically changing their business model)

- Overexpansion using debt
- Poor financial management (expenses get too high, margins get too low, debt increases)
- Increased competition
- Poor location selection
- Lack of differentiation from other traditional grocers and natural grocers

8. I can say why this industry will be going strong in 10 years

The healthy eating industry will be going strong for the foreseeable future because as most millennials and even Gen-z are being exposed to it, their kids will very likely be exposed to healthy eating as well. This produces an entire generation after the current one which will be more inclined to eat healthier.

- Natural and organic food sales have more than doubled from around \$50B in 2012 to \$300/400B in 2022.

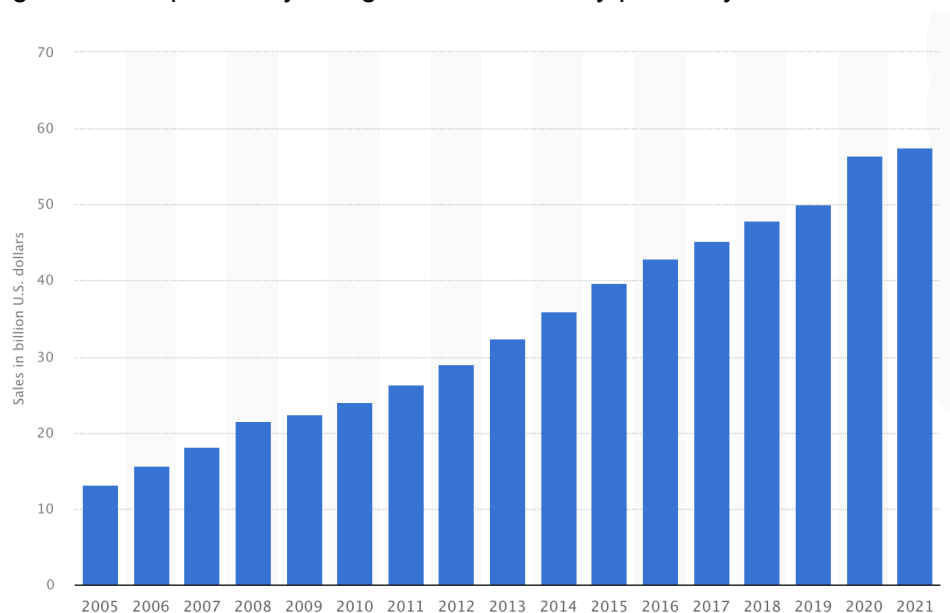
<https://www.foodbusinessnews.net/articles/19684-natural-and-organic-sales-approaching-300-billion>

- According to statista, natural and organic food sales have doubled from 3% to 6% of overall supermarket sales since 2011. Trend looks to be continuing

- The organic food market is expected to grow around 8% per annum into 2027

<https://www.globenewswire.com/news-release/2022/01/25/2372820/0/en/United-State-Organic-Food-Market-Retains-Robust-Growth-Amid-the-Pandemic-Projected-to-Grow-at-a-CAGR-of-8-7-during-2021-2027-BlueWeave.html>

- Organic food specifically has grown substantially past 20 years:



9. I can list the KPIs that are important to this industry

- Comparables (MOST IMPORTANT)
- Avg transaction price
- Avg weekly volume per store
- Inventory turnover
- Sales-to-investment ratio
- Customer acquisition cost
- Customer lifetime value

- Cart abandonment rate
- Customer satisfaction score (CSAT)
- Avg store size

10. I can list the key ongoing risks a business takes in this industry (can find on the 10K)

- a) A huge ongoing risk is the development of eCommerce in the grocery space. Retailers must devise a plan to get their business selling online and in delivery channels (either internal or external through grubhub and instacart)
- b) SHORT-TERM RISK: General consumer spending being lower as a result of recessionary conditions in 2023
- c) The risk of not getting organic produce in time as a result of supply chain issues, especially as a grocery who uses local suppliers
- d) Fluctuations in commodity prices
- e) Failure to open new stores possess a huge risk, as they rely heavily on new store openings for continued growth in addition to comparables store growth
- f) Sprouts relies heavily on KeHE (45% of purchases) and their primary meat and seafood supplier (unnamed, 13% of purchases). Could cause supply chain issues
- g) Must maintain or improve operating margins to stay competitive

- Moat

1. I can describe the critical parts of the business model

- a) New store openings (going for 10% growth in store count starting in 2024)
- b) Keeping prices lower than their direct competitors in the healthy grocery space (i.e. Whole Foods and Trader Joes)
- c) Win with their target customers (health enthusiasts and selective shoppers)
- d) Maintain and improve their fresh supply chain (keep stores within 250 miles of a distribution center)
- e) Going digital (through marketing and through online shopping and delivery)
- f) From 2023 proxy statements on growth strategy:



This has been their growth model since 2020.

2. It's easy to convince customers to buy. The product sells itself so you don't need to market it very much. Or the product is necessary for a use, you have to have it. Or the company has already marketed the product so much that they don't have to anymore (would like to have, not necessary)

- People need groceries to survive in the modern world
- With an increase awareness of healthy eating habits both inside and outside the company, Sprouts is positioned to benefit for years to come
 - Google trends for the search term 'healthy food' from 2004-2023

Interest over time ⓘ



- Why not eat healthier for an affordable price?!

3. Customers love or need the company

- Some employees feel that corporate puts too much pressure on store managers and that they are not rewarded well for good work.
- Glassdoor gives Sprouts 3.1 stars and Whole Foods 3.5 stars and Trader Joes 4.0 stars

(<https://www.glassdoor.com/Reviews/Sprouts-Farmers-Market-Reviews-E134467.htm>)

- Only 49% of workers approve of the CEO Jack Sinclair (from 4.5K review on Glassdoor)
- Employees complain about low pay
- <https://www.comparably.com/companies/122267/competitors> says Jack Sinclair has 47% approval rate (only 363 employees reviewed)

4. Suppliers love or need the company

- They use Pod Foods as a B2B way to bringing emerging vendors to the shelves of Sprouts

5. I know the competitive advantage of the business

- They have a pricing moat because they are cheaper than other natural foods grocers around
- They also have a brand moat because people recognize their name

6. I know why the competitive advantage is durable (look for disruptors here)

- The pricing moat is a consequence of Sprouts developing relationships with local suppliers, which decreases their risk for supply chain issues abroad
- Recover 68% of its food waste, drastically lowering energy costs
- The financial numbers speak for themselves



7. I know why the competitive advantage is intrinsic (your not that company without this thing)

- The local supplier hybrid model is built into the business model of this company. They would not be sprouts without the access to local vendors, allowing them to achieve low prices for organic foods
- Their smaller store format allows them to enter more niche markets that larger supermarkets cannot achieve
- Their focus on perishables over their competitors allows them to put more effort into the local and niche market, conserving their 'farmers market' appeal

8. I can say in a sentence the difficulties customers will have if the business disappears

- Customers will struggle to find a one-stop shop where they can get healthy and organic food at affordable prices

9. Business has proven that it can raise prices as its costs rise (anti fragile)

- Its target customers are healthy eating people who are more likely to spend a little extra for natural and organic foods in comparison to customers who shop at target and walmart for groceries
- For grocers, comps are a good indicator of inflation. For sprouts, 2.4% in Q3 of 2022 was ok but not great. Will continue to monitor
- Looking at net margin % staying steady past couple years, this is a good indication that they are passing off extra costs onto the consumer while still growing

10. Most sales are not one-off sales. You want recurring sales from customers.

- Subscription model looks good here
- If the business model is not recurring, they must have a strong enough brand to bring customers back
 - Sprouts brings back customers through:
 - A. Rewards programs
 - B. Loyalty program
 - C. Regular Deals
 - The fact that they sell food means customers constantly need to come back

- Management

1. The business has no or little debt (debt must be 2-3 earnings or 2-3 free cash flow or 2-3 years of owner earnings)

- The company has \$250M in long term debt, which represents about 1 year of net income

2. ROIC is high and not getting smaller. 'High' is industry dependent (usually 10% is good, 20% is great). Make sure ROIC isn't increasing by acquiring companies with borrowed money

- ROIC five year avg is 11.88%. Industry average is 9%. Whole Foods at 11.7% and Trader Joes is 16.6%. Albertsons at 8% 5 yr avg and Kroger at 10.4% 5 yr avg

3. ROE is high and not getting smaller (not as important as ROIC). 15% is good, 20% is great

- 5 year avg is 28.7%. Industry average is about 15%, looks like those stock buybacks are paying off

4. Company has small maintenance capex (larger maintenance capex chews up owner earnings)

- Sprouts does not explicitly separate their maintenance capex from total capex, therefore it is difficult to know for sure. Their total capex represents 40-45% of their net income over the past three years. This is a big number because they reinvest their earnings into new stores constantly.

- They point out that the majority of capex is spent on new store openings. Given that the average cost to open a new location is \$5M-\$6M (according to 2020 annual report), the average % of capex taken up by new store openings is 78%, leaving the other **22% for maintenance**
- According to S&P Market intelligence, the grocery industry average total capex/net income ratio is 33%, meaning Sprouts runs higher than the average (probably because they are still in growth mode)
 - Kroger consistently spends more capex than their net income (2019-2022) with an average capex/net income ratio of 1.36 because they finance their capex with debt (three year average net income/debt ratio of 16%)

5. Free cash flow is >75% of earnings or more (lower is okay if and only if they're reinvesting the spent capital wisely)

- 10 year avg FCF ratio of 0.94 (from Rule 1 toolbox)
- Albertsons is -0.37 (negative!)
- Kroger is 0.91

6. Owner earnings are >75% of earnings or more

- Owner earnings over the past three years have averaged 160% of net income. It's over 100% b/c operating cash flow is higher since depreciation is added back into the calculation and depreciation is huge for grocers
- Owner earnings over operating cash flow over past three years is 106%, still very impressive owner earnings

7. CEO is experienced in this business and has a great track record. A great moat can overcome a new and inexperienced CEO

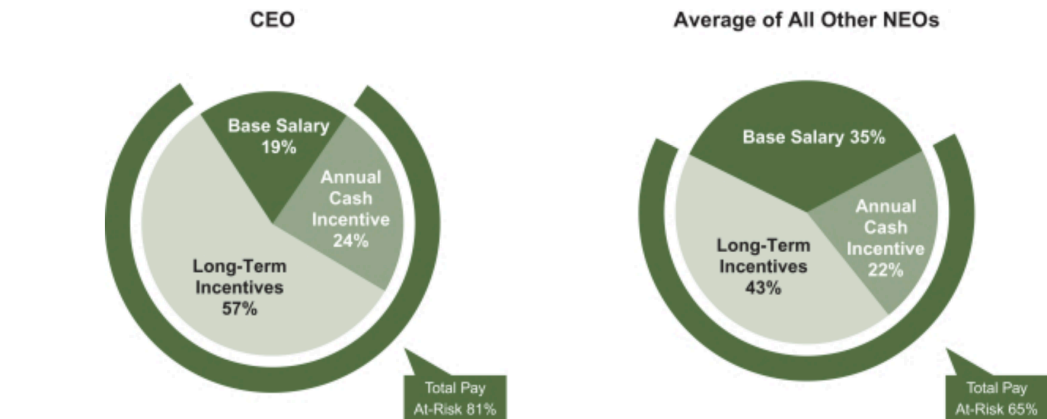
- CEO is Jack Sinclair, who started on mid 2019. He has spearheaded their entire new growth strategy (which was absent before him). From 2022 proxy statement: "Mr. Sinclair has served as our Chief Executive Officer since June 2019. Previously, Mr. Sinclair served as Chief Executive Officer of 99 Cents Only Stores LLC, a premier discount retailer, from February 2018 to June 2019, and prior to that was its Chief Merchandising Officer from July 2015 to February 2018. From December 2007 to April 2015, Mr. Sinclair was the Executive Vice President of the U.S. Grocery Division of Walmart, Inc. (NYSE: WMT), where he led all aspects of Walmart's U.S. grocery business for its more than 4,000 stores. Prior to joining Walmart, Mr. Sinclair spent 14 years at Safeway PLC in London from 1990 to 2004, where he held several senior management positions that included responsibility for operations, merchandising and marketing for over 450 Safeway supermarket and convenience store locations throughout the United Kingdom. Mr. Sinclair served on the board of directors of The Hain Celestial Group (NASDAQ: HAIN), a leading marketer, manufacturer and seller of organic and natural products, from September 2017 to June 2019."

8. I trust this CEO to behave with integrity

9. CEO pay is reasonable and based on long term success. Compare to industry to see if it's reasonable. Pay must reflect multiple years of anticipation, just like a long term investor. Can go to wall street journal for easy comparison.

- Jack Sinclair was pay about \$6M past three years (CEO pay ratio of 242 to 1)
 - Kroger CEO about \$20M past three years (CEO pay ratio of 679 to 1)
 - Albertsons CEO about \$8M past couple years (CEO pay ratio 272 to 1)
 - Whole foods CEO pay ratio anywhere from 14-85 (not entirely sure cuz their not public anymore)
- Most executive compensation at Sprouts is long-term:

Cash Compensation	Base Salary	Base salary is designed to provide a competitive fixed rate of pay recognizing different levels of responsibility and performance within our company, set generally near the 50th percentile of comparable companies.
	Performance-based Bonus	Our performance-based bonus is an annual cash incentive program designed to reward team members for achieving company sales and profitability goals.
Long-Term Incentive Compensation	Performance Shares	Performance shares are granted to provide incentive for long-term creation of stockholder value based on company profitability goals measured by Plan EBIT over a three-year performance period. Performance shares represented 50% of the annual long-term incentive grant value in fiscal 2019 for our Chief Executive Officer, President and Chief Operating Officer and Chief Financial Officer, and 40% for our other executive officers.
	RSUs	Time-vesting restricted stock units (referred to as "RSUs") are granted to provide incentive for long-term creation of stockholder value. RSUs vest in annual installments over three years and represented 50% of the annual long-term incentive grant value in fiscal 2019 for our Chief Executive Officer, President and Chief Operating Officer and Chief Financial Officer, and 40% for our other named executive officers.
	Stock Options	Time-vesting stock options are granted to provide incentive for long-term creation of stockholder value. Time-based stock options vest in annual installments over three years and represented 20% of the annual long-term incentive grant value for our other named executive officers in 2019, excluding our Chief Executive Officer, President and Chief Operating Officer and Chief Financial Officer.
Benefit Programs	Health, Welfare and Retirement Programs	Executives participate in the same benefit programs that are offered to other salaried team members. Our benefits are designed to provide market competitive benefits to protect team members' and their covered dependents' health and welfare and provide retirement benefits in the form of a 401(k) plan.
Other	Perquisites	Limited perquisites are provided to certain executives, primarily in the form of company-paid health and life insurance premiums.



10. Management is buying the stock (final indicator/confirmation that you are at margin of safety price)

- They've been buying back stock (\$100-\$250M) almost every year for ten years
- Valuation:
 - Ten Cap
 - 1. I am confident this business will be more productive in 10 years (MUST FULLY COMPLETE PREVIOUS STEPS TO ANSWER THIS)

- Yes, assuming they hit their growth milestones and comps continues upwards
- **2. I am using historically reasonable operating cash flow**
- **3. I am using historically reasonable maintenance capex**
- **4. Add in tax provision**
- **5. Margin of Safety**
- **Payback time**
 - **1. I am confident in the longterm growth rate of this company (look back at numbers, then project into the future. Ask yourself will this industry keep growing and accelerating? Where will this company stand in its industry in the future? Check the upper limit of the industry growing at its current rate over the long term**
 - Using 13% (average of revenue, net income, and stockholders equity over past ten years)
 - Growing at 13% in ten years will put them at \$21B revenue in ten years and \$1B in net income. This level is totally reachable given Kroger is already at \$2.2B net income, and that healthy food sector is growing
 - **2. My avg ratio of free cash to earnings is reasonable and historically relevant**
 - 0.94 is historically relevant without any major outliers (from Rule 1 toolbox)
 - **3. I've factored in cyclicalities of cash flow**
 - Yes by using 3 year average net income and FCF instead of just one year
 - **4. I'm using a solid projection of future capex**
 - Yes, by using 3 year average, and basing it on what they said in 10K
 - **5. I'm confident enough to put 20% of my net worth into this company at a 6 year payback price**
 - Yes, this price would be amazing
- **Discounted Cash Flow Analysis:**
 - **1. I am confident I can pinpoint a longterm growth rate of earnings and cash that is bullish but not crazy**
 - Yes, 13% as mentioned above
 - **2. My projection of future earnings and cash flow is nowhere near the industry ceiling. How much sales can this industry handle?**
 - Previous answer addresses this
 - **3. I am confident in a future P/E ratio that is not too crazy but also bullish. Usually 2x the growth rate is the maximum. Compare to industry as well here**
 - 10 yr avg PE is 22.7 and 5 yr avg PE is 14
 - Kroger and Albertsons both have similar 5 year averages

- 4. I'm using a historically reasonable current earnings (just use 3 yr avg)
- 5. I'm using a reasonably conservative MARR. Just use 15%, this is discount rate
- 6. I've factored in the cyclical nature of earnings and cash flow
- 7. The business price has margin of safety compared to the business value (shoot for 50%)
- 8. I am confident enough in this valuation that I would put 20% of my net worth in this business at the margin of safety price

Equity/Bond Valuation:

- **What is the current book value per share?**
 - March 2023: \$10.16
- **What is a historically reasonable ROE?**
 - 8 yr avg is 24%
- **What is a historically reasonable retained earnings-to-net income ratio?**
 - 10 year avg (excluding negative years in 2019 and 2020) is 0.94. This will be the bullish case
 - Including the outliers it is 0.67. This will be the conservative case
- **Grow book value per share using the retained earnings portion of historically reasonable ROE**
 - Bullish case → future book value per share of \$77.7
 - Conservative case → future book value per share of \$45.13
- **Using historically reasonable ROE, determine future earnings from future book value**
 - Bullish case → future net income of \$18.65
 - Conservative case → future net income of \$10.83
- **Using historically reasonable PE, determine future price using future earnings**
 - Using 18 as future PE (avg of 10yr and 5yr averages)
 - Bullish case → future value of \$335.70
 - Conservative case → future value of \$194.90
- **From future price, determine overall return given current price**
 - Using current price as of June 2023 of \$34:
 - Bullish case: 23% over next ten years
 - Conservative case: 17.6% over next ten years
 - Even using 14 as the PE, the conservative case produces 15% return over next ten years. **I can say with reasonable confidence that as long as the ROE remains around 24%, and as long as they retain at a minimum 67% of their earnings, and if PE remains at at minimum of 14, that this investment will generate in the range of 15% - 23% per year over the next ten years!!!**

Can compare earnings results to prediction to ensure valuation thesis is still valid:

	Earnings (\$M)	
	Equity Bond	DCF
2022	261	261
2023	292	295
2024	338	333
2025	393	377
2026	456	426
2027	529	481
2028	614	543
2029	713	614
2030	828	694
2031	961	784
2032	1116	886
2033	1295	1001

Love

- **My kids are proud I own this business.**
- **This business deserves to be in the world in 20 years**
 - This business is promoting healthy eating and it deserves to be in every community
- **The company matches my personal and business values (values are what you do, not what you say you do)**
 - I am a bit of a health enthusiast and this investment matches the bill

Event

- **I know the event**
- **The event was easy to find**
- **The event will take at least one year to resolve**
- **The event will take no more than 3 years**
- **The solution to the event will not require debt**
- **In spite of the event, (or perhaps because of it) I can still specify 3 clear reasons why I would only buy this company for the rest of my life**

Story Inversion

- **I have a serious inversion for every key reason to own this business**
 - 1. Margins are decreasing
 - That is because they are trying to tap into the larger grocery market, which is a huge market. As long as earnings are still increasing at a decent rate, then their strategy is working
 - 2. Comparables are low (3% ish) and at risk of lowering when inflation slows down.
 - This is true, however comparables are not the focus of management and a small decrease in comparable sales is acceptable given that they are still hitting their targets on new store openings and new store size (and more importantly, earnings)

-

- I know every reason not to buy this company better than the short sellers
- For every inversion, I know a solid rebuttal
- The short sellers are wrong